

COMPANY OVERVIEW

Hindustan Unilever Ltd. (HUL), a subsidiary of Unilever PLC, is India's largest Fast-Moving Consumer Goods (FMCG) company, headquartered in Mumbai. Incorporated in 1933, HUL operates across three core segments — Home Care, Beauty & Personal Care, and Foods & Refreshment — with iconic brands like Dove, Surf Excel, Lux, Lifebuoy, Horlicks, and Brooke Bond. With a nationwide distribution network serving 9 million+ retail outlets and deep rural penetration, HUL reaches millions of Indian households daily. The company is known for its strong focus on premiumisation, sustainability, and innovation, commanding a structural pricing power advantage in the Indian consumer landscape.

Share Price (May 2025)	Market Cap	DCF Intrinsic Value	Implied Upside/(Down)	WACC	EV/EBITDA (FY25)
₹2,370	₹5,52,203 Cr	₹1,508	-36.4%	10.06%	34.1x

KEY FINANCIAL METRICS (₹ Billion)

Particulars	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Total Sales (₹b)	397.8	470.3	524.5	605.8	619.0	631.2
Sales Growth	—	18.2%	11.5%	15.5%	2.2%	2.0%
Gross Profit Margin	54.1%	52.9%	50.9%	47.6%	51.9%	51.6%
EBITDA Margin	24.8%	24.7%	24.5%	23.3%	23.7%	23.5%
EBIT Margin	22.3%	22.5%	22.4%	21.5%	21.7%	21.4%
Net Profit Margin	17.5%	17.5%	17.0%	16.8%	16.6%	16.4%
EPS (₹)	—	4.66	3.28	8.37	8.49	5.33
DPS (₹)	65.92	71.44	81.60	82.32	82.96	91.17

KEY FINANCIAL RATIOS

Particulars	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
P/E Ratio	73.9x	71.8x	54.6x	60.4x	52.6x	50.6x
EV/EBITDA	49.7x	50.6x	38.4x	43.5x	36.8x	34.1x
EV/Sales	12.7x	12.3x	9.3x	10.1x	8.7x	8.4x
Price/Book	61.8x	12.0x	9.9x	12.0x	10.4x	10.3x
Return on Equity	84.7%	17.3%	18.2%	20.3%	20.1%	21.0%
ROCE	84.5%	17.3%	18.2%	20.2%	20.0%	20.9%

RECENT CORPORATE UPDATES

- Ice Cream Demerger (Kwality Walls): HUL is demerging its ice cream business into a separate listed entity. Shareholders will receive 1 share per HUL share. Estimated revenue impact: ~₹2,500-3,000 Cr removed from Foods & Refreshment from FY27.
- Acquisition of Minimalist: HUL acquired 90.5% stake in Uprising Science Pvt Ltd (Minimalist) for ₹2,670 crore — strengthening premium skincare position and D2C digital channel access.
- Capex Guidance: HUL plans to maintain annual capex at ~₹1,200 crore, focused on capacity expansion and innovation. This aligns with our modelled capex assumption of 2.8% of revenue.

- Q4 FY25 Results: Net profit ₹2,493 Cr (+3.7% YoY), revenue ₹15,214 Cr (+12.4% YoY). Final dividend of ₹24/share declared, totalling ₹53/share for FY25.
- Palm Oil Backward Integration: Acquired palm oil assets from Vishwatej Oil — securing critical raw materials and reducing input cost volatility, supporting our stable gross margin assumption of 49.5%.
- Working Capital: Company achieved 100% cash conversion in FY25, operating with structural negative working capital — consistent with our modelled CCC of -17 days.

FINANCIAL PROJECTIONS

INCOME STATEMENT PROJECTIONS (₹ Crore)

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	60,580	64,123	64,120	68,386	72,950	77,833	83,058	88,651
Gross Profit	28,172	31,185	31,932	33,851	36,110	38,527	41,114	43,882
Gross Margin %	46.5%	48.6%	49.8%	49.5%	49.5%	49.5%	49.5%	49.5%
EBITDA	13,728	14,641	15,069	15,729	16,778	17,902	19,103	20,390
EBITDA Margin %	22.7%	22.8%	23.5%	23.0%	23.0%	23.0%	23.0%	23.0%
Depreciation	1,422	1,531	1,620	1,710	1,824	1,946	2,076	2,216
EBIT	12,306	13,110	13,449	14,019	14,955	15,956	17,027	18,173
EBIT Margin %	20.3%	20.4%	21.0%	20.5%	20.5%	20.5%	20.5%	20.5%
Other Income	1,169	1,270	1,272	1,200	1,200	1,200	1,200	1,200
PBT	13,475	14,380	14,721	15,219	16,155	17,156	18,227	19,373
Tax (25%)	3,369	3,595	3,680	3,805	4,039	4,289	4,557	4,843
PAT	10,106	10,785	11,041	11,414	12,116	12,867	13,670	14,530
PAT Margin %	16.7%	16.8%	17.2%	16.7%	16.6%	16.5%	16.5%	16.4%

EBITDA margin held at 23.0% (management guided 22-23% band). Slight gross margin compression to 49.5% reflects commodity headwinds. PAT margin stable at 16.4-16.7%.

SEGMENT REVENUE MODEL (₹ Crore)

Segment	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	CAGR
Home Care	21,897	21,900	22,972	24,121	25,327	26,593	27,923	29,319	5.0%
Beauty & Personal Care	22,042	22,165	22,448	24,244	26,183	28,278	30,540	32,983	8.0%
Foods & Refreshment	15,624	17,831	16,900	18,168	19,530	20,995	22,569	24,262	7.5%
Others (Exports)	1,017	2,227	1,800	1,854	1,910	1,967	2,026	2,087	3.0%
Total Revenue	60,580	64,123	64,120	68,386	72,950	77,833	83,058	88,651	6.7%
YoY Growth	—	5.8%	0.0%	6.7%	6.7%	6.7%	6.7%	6.7%	—

BALANCE SHEET HIGHLIGHTS (₹ Crore)

Line Item	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Net Fixed Assets	5,246	5,404	5,500	5,705	5,924	6,158	6,407	6,673
Trade Receivables	1,820	1,690	1,850	2,248	2,398	2,559	2,731	2,915
Inventory	2,980	2,830	2,950	7,120	7,595	8,103	8,647	9,229
Trade Payables	9,834	9,972	10,200	12,553	13,391	14,287	15,246	16,273
Total Equity	10,354	10,521	10,800	11,371	11,977	12,620	13,303	14,030
Net WC (Rec+Inv-Pay)	-5,034	-5,452	-5,400	-3,185	-3,398	-3,625	-3,868	-4,129
Capex	—	—	—	1,915	2,043	2,179	2,326	2,482

HUL operates with structural negative NWC (avg -61 days CCC) due to DPO of 67 days vs DSO of 12 days — supplier credit finances operations, a key FCF advantage.

DCF VALUATION & WACC

FREE CASH FLOW TO FIRM — FCFF (₹ Crore)

Line Item	FY26E	FY27E	FY28E	FY29E	FY30E
EBIT	14,019	14,955	15,956	17,027	18,173
Tax on EBIT (25%)	3,505	3,739	3,989	4,257	4,543
NOPAT = EBIT(1-t)	10,514	11,216	11,967	12,770	13,630
Add: Depreciation	1,710	1,824	1,946	2,076	2,216
Less: Capex	1,915	2,043	2,179	2,326	2,482
Less: Change in NWC	2,215	-213	-227	-243	-260
FREE CASH FLOW (FCFF)	8,094	11,210	11,961	12,764	13,625
FCFF Growth %	—	+38.5%	+6.7%	+6.7%	+6.7%
FCFF Margin %	11.8%	15.4%	15.4%	15.4%	15.4%
Discount Factor (10.06%)	0.9086	0.8256	0.7501	0.6815	0.6192
PV of FCFF	7,354	9,254	8,972	8,699	8,437

FY26E FCFF lower due to NWC normalisation (+₹2,215 Cr outflow). From FY27 FCFF grows at 6.7% consistently, matching blended revenue CAGR. FCFF margin stabilises at 15.4%.

WACC CALCULATION & DCF VALUATION OUTPUT

WACC Input	Value	Note	DCF Output	Value
Risk-Free Rate (Rf)	6.85%	10Y India G-Sec (RBI/FBIL)	Sum PV of FCFFs	₹42,717 Cr
Equity Risk Premium (ERP)	6.00%	Damodaran India ERP, Jan 2025	Terminal FCFF FY31E	₹14,306 Cr
Beta (HUL vs Nifty 50)	0.55	2Y Weekly, defensive FMCG	Terminal Value (GGM, 5% g)	₹2,82,753 Cr
Cost of Equity (CAPM)	10.15%	Rf + Beta × ERP	PV of TV — Gordon Growth	₹1,75,093 Cr
Pre-Tax Cost of Debt	7.50%	AAA-rated corp bond yield	Terminal Value (35× EBITDA)	₹7,13,641 Cr
Post-Tax Cost of Debt	5.63%	Kd × (1 – 25%)	PV of TV — Exit Multiple	₹4,41,918 Cr
Debt Weight (Wd)	2%	HUL near debt-free	Average PV of Terminal Value	₹3,08,506 Cr
Equity Weight (We)	98%	Market value basis	Enterprise Value (EV)	₹3,51,222 Cr
WACC	10.06%	Ke × We + Kd × Wd	Less: Net Debt	–₹1,550 Cr
			Equity Value	₹3,52,772 Cr
			Shares Outstanding	234 Cr
			Intrinsic Value / Share	₹1,508
			Current Market Price	₹2,370
			Upside / (Downside)	–36.4%

Valuation Conclusion: Base-case DCF yields an intrinsic value of ₹1,508/share — implying 36.4% downside from CMP of ₹2,370. The market prices in brand franchise, negative working capital advantage, 95%+ dividend payout consistency, and near-monopoly distribution — qualities a DCF does not fully capture. At 8% WACC / 6.5% terminal growth (bull case), model implies ₹2,645.

SENSITIVITY ANALYSIS

INTRINSIC VALUE PER SHARE (₹) WACC (rows) vs Terminal Growth g (columns)							
WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%	6.5%	7.0%
8.0%	₹1,753	₹1,829	₹1,931	₹2,074	₹2,288	₹2,645	₹3,358
8.5%	₹1,659	₹1,717	₹1,792	₹1,892	₹2,032	₹2,242	₹2,593
9.0%	₹1,579	₹1,625	₹1,682	₹1,756	₹1,854	₹1,992	₹2,198
9.5%	₹1,510	₹1,547	₹1,592	₹1,648	₹1,721	₹1,817	₹1,952
10.0%	₹1,450	₹1,480	₹1,516	₹1,560	₹1,615	₹1,686	₹1,781
10.5%	₹1,395	₹1,420	₹1,450	₹1,485	₹1,529	₹1,583	₹1,653
11.0%	₹1,346	₹1,367	₹1,392	₹1,421	₹1,456	₹1,498	₹1,552
₹2,370+ Above CMP		₹1,900-2,370		₹1,600-1,900		₹1,400-1,600	
						Below ₹1,400	

Base case: WACC 10.0%, g 5.0% = ₹1,516 (outlined in blue) | Bull case: WACC 8.0%, g 6.5% = ₹2,645

RATIO ANALYSIS & DuPont

RATIO ANALYSIS (FY21A - FY25A)

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	Mean	Median
Sales Growth	18.2%	11.5%	15.5%	2.2%	2.0%	9.9%	11.5%
EBITDA Growth	18.0%	10.6%	10.0%	3.7%	1.2%	8.7%	10.0%
EBIT Growth	15.6%	9.7%	12.3%	5.6%	1.8%	9.0%	9.7%
Net Profit Growth	18.4%	8.4%	14.2%	0.9%	0.8%	8.5%	8.4%
Gross Margin	52.9%	50.9%	47.6%	51.9%	51.6%	51.0%	51.6%
EBITDA Margin	24.7%	24.5%	23.3%	23.7%	23.5%	24.0%	23.7%
PAT Margin	17.5%	17.0%	16.8%	16.6%	16.4%	16.9%	16.8%
Return on Equity	17.3%	18.2%	20.3%	20.1%	21.0%	19.4%	20.1%
ROCE	23.0%	24.5%	26.7%	27.7%	29.3%	26.2%	26.7%
Debtor Days (DSO)	12d	15d	17d	18d	20d	16d	17d
Payable Days (DPO)	157d	137d	119d	119d	132d	133d	132d
Inventory Days (DIO)	57d	59d	54d	49d	51d	54d	54d
Cash Conv. Cycle	-88d	-64d	-49d	-52d	-61d	-63d	-61d
CFO / Sales	21.8%	17.4%	17.1%	25.3%	19.9%	20.3%	19.9%

- Slowing growth, margin defence: Sales growth collapsed from 18.2% (FY21) to 2.0% (FY25), while gross margin recovered from 47.6% low to 51.6% — HUL protected profitability through premiumisation.
- SG&A spike FY24-25: A&P spend rebounded to ~28% — increased media and trade investment to defend market share as top-line growth faded.
- Rising debtor days: Despite ROCE expanding from 23% to 29.3%, debtor days worsened from 12 to 20 days; CCC deteriorated from -88 to -61 days.
- EBITDA stable but growth evaporating: Margin held ~23.5% through FY25, but EBITDA growth dropped from 18% to 1.2% — cost optimisation, not revenue, is driving margin defence.
- Near-zero leverage: Debt/Equity negligible throughout — HUL self-funded from operations, supporting our WACC assumption of 10.06% with 98% equity weight.

DuPont ANALYSIS — RETURN ON EQUITY DECOMPOSITION

DuPont Component	FY21A	FY22A	FY23A	FY24A	FY25A
Net Profit Margin	17.5%	17.0%	16.8%	16.6%	16.4%
Asset Turnover Ratio	0.75x	0.81x	0.91x	0.86x	0.86x
Equity Multiplier	1.48x	1.31x	1.32x	1.37x	1.44x
Return on Equity	19.5%	18.2%	20.2%	19.5%	20.4%
Return on Assets	19.9%	14.0%	15.6%	14.8%	14.3%

HUL's ROE is primarily driven by strong net profit margins (~16-17%), not leverage (multiplier 1.3-1.4x). Asset turnover declined post-FY21 (goodwill from acquisitions); Minimalist may temporarily suppress asset turnover in FY26-27 before synergies materialise.

COMPARABLE COMPANIES & MODEL ASSUMPTIONS

COMPARABLE COMPANY ANALYSIS						
Company	Ticker	Mkt Cap (₹b)	EV/Revenue	EV/EBITDA	P/E	ROE
Hindustan Unilever	HINDUNILVR	5,522	9.3x	42.5x	22.1x	21.0%
ITC Ltd.	ITC	5,401	7.2x	20.4x	2.1x	~15%
Nestle India	NESTLEIND	2,249	1.3x	5.9x	80.5x	~100%
Godrej Consumer	GODREJCP	1,275	9.8x	45.5x	73.5x	~20%
Tata Consumer	TATACONSUM	1,149	8.8x	46.0x	72.6x	~12%
Dabur India	DABUR	851	6.9x	28.4x	26.1x	~18%
Peer Average	—	—	6.8x	29.2x	51.0x	—

HUL trades at a significant premium (EV/EBITDA 42.5x vs peer avg 29.2x), justified by category leadership and near-monopoly rural distribution. Implied peer-based value ~₹1,700-1,900 is broadly consistent with DCF intrinsic value of ₹1,508.

MODEL ASSUMPTIONS SUMMARY			
Category	Assumption	Value	Justification
Macro	India Nominal GDP	10.5%	Real 6% + CPI 4.5% (RBI target)
Macro	Terminal Growth Rate	5.0%	Below nominal GDP ceiling; large mature FMCG
Revenue	Home Care CAGR	5.0%	Mature segment; premiumisation + rural
Revenue	BPC CAGR	8.0%	Minimalist D2C + skincare premiumisation
Revenue	Foods & Refresh CAGR	7.5%	Post ice-cream demerger adjusted
Margins	EBITDA Margin	23.0%	Management guided 22-23% band
Margins	Effective Tax Rate	25.0%	New corporate tax regime
WC	Cash Conv. Cycle	-17 days	DSO 12d, DIO 38d, DPO 67d
Capex	Capex / Revenue	2.8%	Asset-light; mgmt guided ~₹1,200 Cr
WACC	Risk-Free Rate	6.85%	10Y India G-Sec (FBIL, May 2025)
WACC	Equity Risk Premium	6.0%	Damodaran India ERP, Jan 2025
WACC	Beta	0.55	2Y Weekly vs Nifty 50; defensive FMCG
WACC	WACC	10.06%	Near debt-free; 98% equity weight

DISCLAIMER: This valuation report is prepared by Arnab Saha solely for educational and portfolio demonstration purposes. It does not constitute investment advice or a recommendation to buy, sell, or hold any security. All projections are based on publicly available information and the author's own assumptions as of May 2025. Actual results may differ materially. Data sources: HUL Annual Reports FY20-FY25, Screener.in, Damodaran (NYU), RBI/FBIL, NSE India, MOSPI.